

Please Buy Yourself A New Car

TO MANAGE YOUR personal finances properly, you need only follow three rules:

No. 1. Spend less than you earn.

No. 2. Prioritize investing for your future.

No. 3. Figure out what matters to you, then spend accordingly.

Most spending advice involves paying down debt and not buying things. If you are young and broke, that applies. However, if you are deep in credit card debt and a *spendaholic*, you know what you have to do. Follow these simple rules, and you can ignore the spending scolds like Suze Orman and Dave Ramsey.

Hell, just follow rule #1: Spend less than you earn.

The spending scolds have a history of inappropriate and misleading advice. They finger-wag *everything*, warning of the dire consequences for anyone foolish enough to spend and enjoy their money. At nearly every level, their complaints are absurd, and the arguments they present in support are silly.

Like this exaggeration: “Buying new cars is like taking \$40,000 and setting it on fire.”^{[437](#)} Each year, between 14 and 17 million new cars are sold in the US. Lighting your cash on fire leaves you a pile of ash; buying a new car gets you a safe, reliable, efficient form of transportation.

One thing I have learned from 30 years of working in finance: *People sure can be weird about money.*

Never mind the countless anecdotes I could cite; the entire field of behavioral economics is based on this. Our weirdness is demonstrated by the foolish financial decisions we make each day, the unsupported beliefs we hold dear, and the odd pronouncements we make whenever the subject of spending comes up.